



Jersey Mike's Subs

Buyout Model

7/6/2026

By: Tyler Spencer

SPONSOR RETURNS		
Scenario	MOIC	IRR
Best Case (Bull)	2.00x	50.2%
Base Case	1.79x	40.7%
Worst Case (Bear)	1.58x	30.8%

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Assumptions & Financials

(\$ Millions)

Transaction Assumptions	
Entry Enterprise Value	8,000.0
Entry LTM EBITDA	263.0
Entry Close Date	1/16/2025
Net Debt at Entry	1,750.0
Exit Enterprise Value	12,000.0
Exit EBITDA Multiple	31.0x
Exit Close Date	9/30/2026
Net Debt at Exit	2,100.0
Founder Equity	10.0%
Transaction Fees	1.5%

Company Financials

	2024A	2025A	Q1 2026A
Revenue	653.0	724.0	185.0
Selling, General, & Administrative	(349.0)	(233.0)	(78.0)
Advertising Expense	(220.0)	(215.0)	(61.0)
Depreciation & Amortization	(10.0)	(96.0)	(26.0)
Company-owned stores expenses	(30.0)	(29.0)	(8.0)
EBIT	44.0	151.0	12.0
Interest Income (Expense)	(38.0)	(94.0)	(29.0)
EBT	6.0	57.0	(24.0)
Other Expense	-	(1.0)	-
Income Tax Expense	(1.0)	(1.0)	-
Net Income	5.0	55.0	(24.0)

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Assumptions & Financials

(\$ Millions)

Depreciation & Amortization	(10.0)	(96.0)	(26.0)
EBITDA	54.0	247.0	38.0
Add: Equity-based compensation	-	8	3
Add: Acquisition-related expenses	7	1	-
Add: IPO-related expenses	-	7	6
Add: Founder discretionary expenses	198	25	-
Add: Area Director buyouts	2	42	32
Add: Corporate transition & other	2	9	5
Adjusted EBITDA	263.0	339.0	84.0
	40.3%	46.8%	45.4%

Note: 2025 splits Predecessor (pre-1/16/25) and Successor periods on different accounting bases (pushdown/purchase accounting); combined here.

D&A and interest step up materially post-acquisition. FY2024 founder-discretionary add-back is a derived plug to the disclosed \$263M

(no line-item full-year 2024 recon in S-1).

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LBO Entry Valuation

(\$ Millions)

Initial Valuation	
Enterprise Value	8,000.0
Less: Net debt	(1,750.0)
Equity Purchase Price	6,250.0
Entry LTM Adj. EBITDA (FY2024)	263.0
Implied EV / LTM EBITDA	30.4x

Uses of Funds

Buyout of equity	6,250.0
Fees (transaction & financing)	105.0
Total Uses	6,355.0

Sources of Funds

	<u>EBITDA turns</u>	<u>\$ investment</u>
Excess cash	0.0x	0.0
New Debt	2.9x	750.0
Rollover Equity	2.4x	625.9
Sponsor equity	18.9x	4,979.1
Total Sources	24.2x	6,355.0

Fees

	<u>% fees</u>	<u>Fee</u>	<u>Term</u>	<u>Fee / year</u>
<i>Financing fees</i>				
New Debt	1.5%	11.2	7 yrs	1.6
Financing fees		11.2		1.6
	<u>% of offer value</u>	<u>Fee</u>		
Trans. fees	1.5%	93.8		

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LBO Exit Valuation

(\$ Millions)

Exit Valuation	
Exit EBITDA	387.1
EBITDA Multiple	31.0x
Enterprise Value	12,000.0
Less: Net Debt	(2,100.0)
Exit Equity	9,900.0

Sponsor's Equity at exit EBITDA multiple of:	MOIC	IRR	1/16/2025	9/30/2026
28.00x	1.58x	30.77%	(4,979.1)	7,864.8
29.00x	1.65x	34.14%	(4,979.1)	8,213.2
30.00x	1.72x	37.45%	(4,979.1)	8,561.6
31.00x	1.79x	40.70%	(4,979.1)	8,910.0
32.00x	1.86x	43.91%	(4,979.1)	9,258.4
33.00x	1.93x	47.06%	(4,979.1)	9,606.8
34.00x	2.00x	50.17%	(4,979.1)	9,955.2